



# The W-2 Escape Plan

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Know Your Number Before You Give Notice

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You've been thinking about it for months, or years: leaving the W-2 and building something of your own. This checklist covers the financial pieces that decide whether the move is calculated or chaotic.

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## The Runway

- ☐ **Do you know your monthly burn rate, the real one?** Track everything that leaves your accounts for a month, including subscriptions and automatic payments. Then add a buffer for the things that didn't show up that month.
- ☐ **Have you decided how many months of living expenses you need in liquid savings before you leave?** Not invested. Not in a retirement account. Liquid. Divide savings by your real burn rate, then decide how many months you'd want if revenue comes in late.
- ☐ **Have you stress-tested against a delayed revenue scenario?** What if your first paying client takes much longer than you expect? Model a slow start.

## Health Insurance

- ☐ **Do you have a post-employment health insurance plan?** COBRA, an ACA marketplace plan, or a spouse's plan. COBRA generally lasts up to 18 months after leaving a job and can cost up to 102% of the plan's full premium. Get quotes for all three.
- ☐ **Are you maximizing current employer benefits before you leave?** Schedule deferred appointments, fill prescriptions, and check what happens to your FSA balance when you leave.

## Entity Setup & Tax Architecture

- ☐ **Have you decided on your business entity structure?** An LLC can provide liability protection. Whether an S corporation election pays off depends on your profit, a reasonable salary, and the added payroll costs. Ask your CPA to run the numbers.
- ☐ **Do you understand the self-employment tax impact?** You pay both halves of Social Security and Medicare on most of your net self-employment earnings: 12.4% for Social Security up to \$184,500 of combined wages and self-employment earnings for 2026, and 2.9% for Medicare with no cap, plus 0.9% more at higher incomes. It's on top of income tax, and the wage limit changes every year.
- ☐ **Have you set up quarterly estimated tax payments?** With no employer withholding, the IRS expects tax paid during the year, usually in quarterly estimates. Underpaying can bring a penalty even if you pay in full at filing, so have your CPA set your first year's amounts.

## Retirement Accounts

- ☐ **Do you have a plan for your employer 401(k)?** Leave it, roll it to an IRA, or roll it to a new plan. Cashing it out generally means income tax on the full amount, plus a 10% additional tax if you're under 59½ and no exception applies.
- ☐ **Have you evaluated a Solo 401(k) or SEP-IRA?** For 2026, total Solo 401(k) contributions can be up to \$72,000: an employee deferral of up to \$24,500 plus an employer contribution based on your self-employment earnings, with catch-up contributions at 50 and older on top. A SEP-IRA allows only the employer contribution. For self-employed people the employer calculation comes out lower than the plan's stated percentage, so have your CPA run it. Limits change every year.
- ☐ **Are you planning to use an HSA?** With an HSA-eligible high-deductible health plan, you can contribute up to \$4,400 (self-only coverage) or \$8,750 (family coverage) for 2026, plus \$1,000 more at age 55 and older. For federal tax, contributions are deductible, growth isn't taxed, and withdrawals for qualified medical expenses aren't taxed. Limits change every year.

## Income Replacement

- ☐ **Do you have your first client identified before you leave?** Ideally, you've already landed your first paying client while still employed. This validates the model and puts cash flow on the calendar.
- ☐ **Have you calculated your break-even number?** Monthly revenue needed to cover personal burn + business costs + quarterly taxes. Know this number cold.
- ☐ **Do you have a non-compete agreement?** Read it carefully. Violating one can result in an injunction and damages. Get legal advice before you give notice.

## Personal Financial Architecture

- ☐ **Is your personal emergency fund separate from business runway?** Different accounts, different purposes. Don't raid one for the other.
- ☐ **Have you had the conversation with your spouse or partner?** They need to understand the timeline, the plan, the risks, and their role.
- ☐ **Do you have a written transition plan with specific dates?** 'Someday' is not a plan. A timeline with milestones converts a dream into a project.

# Your Departure Timeline

Use this worksheet to map your transition. Fill in target dates and check each box as you complete it. A calculated departure has milestones, not just a quit date.

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## Month -12: Foundation

- ☐ **Calculate real monthly burn rate** (include a buffer): \$\_\_\_\_\_/mo
- ☐ **Determine liquid runway** Savings ÷ burn rate = \_\_\_\_\_ months
- ☐ **Research health insurance options** COBRA: \$\_\_\_\_\_/mo | Marketplace: \$\_\_\_\_\_/mo | Spouse plan: \$\_\_\_\_\_/mo

## Month -6: Architecture

- ☐ **Choose and form business entity** LLC / S-Corp / Sole Prop, filed in: \_\_\_\_\_
- ☐ **Open business bank account** Separate from personal. Non-negotiable.
- ☐ **Set up Solo 401(k) or SEP-IRA** Provider: \_\_\_\_\_ | Contribution target: \$\_\_\_\_\_/yr
- ☐ **Land first client or signed LOI** Client: \_\_\_\_\_ | Revenue: \$\_\_\_\_\_/mo

## Month -3: Preparation

- ☐ **Calculate break-even revenue** Personal burn + business costs + quarterly taxes = \$\_\_\_\_\_/mo
- ☐ **Review non-compete with attorney** Attorney: \_\_\_\_\_ | Clear to proceed: Y / N
- ☐ **Max out employer benefits** FSA balance used / prescriptions filled / dental + vision scheduled
- ☐ **Have the conversation with your partner** Alignment on timeline, risks, and their role.

## Month 0: Departure

- ☐ **Submit resignation** Target date: \_\_\_\_\_
- ☐ **Roll employer 401(k)** To: IRA / Solo 401(k) / Leave in place
- ☐ **Activate health insurance** COBRA start / Marketplace enrollment / Spouse plan effective
- ☐ **First quarterly estimated payment** Due date: \_\_\_\_\_ | Amount: \$\_\_\_\_\_

## Ready to build your escape plan?

Runway, health coverage, entity setup, taxes, and the order you replace your income in all have to fit together. That's the planning work I do.

Book a 15-minute intro call and bring your runway number. We'll talk about your timeline and what's still open on this list.

By the end, I'll tell you whether it's worth going deeper in a second conversation, or whether I'm not the right fit.

Josh St. Laurent, CFP®, CFT™, APFC®, ACC, MS | Founder, Wealth In Yourself

[Schedule a 15-minute call](#)